



Electricity (Financial Provisions) (Scotland) Act 1976

1976 CHAPTER 61

An Act to increase the statutory limits on the amounts outstanding in respect of borrowings by the Scottish Electricity Boards, and to make provision for compensating the North of Scotland Hydro-Electric Board for deficits incurred or to be incurred by that Board in supplying electricity to the British Aluminium Company Limited for the operation of that Company's aluminium reduction plant at Invergordon.

[15th November 1976]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Borrowing powers of Scottish Electricity Boards.

1947 c. 54.

1972 c. 17.

1974 c. 8.

1.—(1) In section 47(7) of the Electricity Act 1947 (limit on borrowing powers of the Scottish Electricity Boards), as amended by section 1(2) of the Electricity Act 1972, as extended by section 4 of and Schedule 2 to the Statutory Corporations (Financial Provisions) Act 1974, for the words “£950 million or such greater sum, not exceeding £1200 million, as the Secretary of State may by order specify” there shall be substituted the words “£1500 million or such greater sum, not exceeding £1950 million, as the Secretary of State may by order specify”.

2.—(1) Subject to the provisions of the following subsections the Secretary of State may by order after consultation with the North of Scotland Hydro-Electric Board (hereinafter in this Act called “the Board”) make provision for payment to the Board of sums, including any or all of the following—

(a) one or more lump sum payments ;

(b) annual payments ;

for the purposes of contributing towards reimbursement of any deficits incurred on the smelter accounts in respect of the period of the contract, including contributions towards any interest charges incurred on monies necessarily borrowed to finance such deficits, and any such order may contain such terms and conditions as the Secretary of State may think fit.

Compensation for deficits incurred by the North of Scotland Hydro-Electric Board in supplying electricity to the British Aluminium Company Limited's aluminium reduction plant at Invergordon.

(2)—(a) The Secretary of State may in his discretion, after consultation with the Board, provide that sums payable under subsection (1) of this section shall be paid in instalments of such amounts and at such intervals as he thinks fit ; and

(b) he may provide for the payment of interest on such sums or amounts for such periods and at such rate or rates of interest as he may with the approval of the Treasury determine.

(3) In making provision for the payment of any sums under subsection (1) of this section the Secretary of State shall take into account where relevant—

(a) all or any deficits previously incurred on the smelter accounts ; and

(b) all or any deficits which are likely to occur on the smelter accounts in the future during the period of the contract, assessed as accurately as may be ; and

(c) all or any surpluses which have accrued or are likely to accrue in the future to the smelter accounts during the period of the contract, assessed as accurately as may be.

(4) The Board shall furnish to the Secretary of State such certified audited accounts as he may require for the purposes of this section, and section 23(2) of the Hydro-Electric Development (Scotland) Act 1943 shall apply to enable the Secretary of State to obtain and verify all information for those purposes in like manner as he may do for the purposes of that Act.

1943 c. 32.

(5) The Secretary of State may, in his discretion—

(a) withhold any sums (including any lump sum or part thereof) for payment of which he has made provision under subsection (1) of this section ;

(b) reclaim any sums (including any lump sum or part thereof) which have been paid under that subsection,

should it appear to him at any time that any deficits in respect of which he made provision for payment of such sums have been or are likely to be recouped by the Board, either—

(i) in the form of a surplus on the smelter accounts ; or

(ii) under any settlement or agreement between the Board and the British Aluminium Company Limited (hereinafter in this Act called “ the Company ”).

(6) Nothing done under this section shall in any way affect, or be taken into account in the computation of, any rights which the Board may have under the contract or under any agreement or settlement with the Company.

(7) In this section—

“ the contract ” means the contract entered into in 1968 between the Board and the Company for the supply of electricity to the Company’s aluminium reduction plant at Invergordon ;

“ the period of the contract ” means the period during which the Board have been and will be in the future obliged to supply electricity under the contract to the Company ;

“ the smelter accounts ” means the accounts of all income and expenditure whether of a capital or revenue nature kept by the Board in connection with the supply of electricity under the contract.

Orders.

3.—(1) Any power to make an order under this Act shall be exercisable by statutory instrument, and no order shall be made in the exercise of that power unless a draft of the order has been laid before the Commons House of Parliament and has been approved by resolution of that House and in the case of an order under section 2 of this Act unless the Treasury consent.

(2) Any order made under this Act may be varied or revoked by subsequent order made in the like manner.

Expenses and repayments.

4.—(1) Any payments made under section 2 of this Act shall be made out of moneys provided by Parliament, and shall be treated as being for the credit of the smelter accounts.

(2) Any sums reclaimed from the Board by the Secretary of State under subsection (5) of section 2 of this Act shall be paid into the Consolidated Fund.

5.—(1) This Act may be cited as the Electricity (Financial Citation and Provisions) (Scotland) Act 1976 ; and the Electricity (Scotland) construction. Acts 1943 to 1972 may be cited together with this Act as the Electricity (Scotland) Acts 1943 to 1976.

(2) Except where the context otherwise requires, references in this Act to any enactment are references thereto as amended by any other enactment, including any enactment contained in this Act.